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Supreme Court, U. S.
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In The
Supreme Court of the United States
October Term, 1995

44 LIQUORMART, INC. and
PEOPLES SUPER LIQUOR STORES, INC.,
Petitioners,
v.

STATE OF RHODE ISLAND, and
RHODE ISLAND LIQUOR STORES ASSOCIATION,
Respondents.

On Writ Of Certiorari
To The United States Court Of Appeals
For The First Circuit

REPLY BRIEF FOR PETITIONERS

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ARGUMENT

A. *Rubin v. Coors Brewing Co.*, Establishes That the State May Only Regulate Commercial Speech Concerning Alcoholic Beverages By Satisfying the *Central Hudson* Test.

The respondents and their supporting *amici curiae* urge the Court to abandon this year's holding in *Rubin v. Coors Brewing Co.*, ___ U.S. ___, 115 S.Ct. 1585 (1995), that restrictions on commercial speech concerning alcoholic beverages are subject to the same First Amendment standard as commercial speech concerning any other product. Their argument is based upon two premises: (1) consumption of alcoholic beverages is a "socially harmful" activity; (2) the Twenty-First Amendment reduces the protection accorded commercial speech by the First Amendment. Both points were raised and decided adversely to the respondents' position in *Rubin*.

Just as the respondents do here, the Government in *Rubin*, relying on *United States v. Edge Broadcasting Co.* 509 U.S. ___, 113 S.Ct. 2696 (1993), and *Posadas de Puerto Rico Associates v. Tourism Co. of Puerto Rico*, 478 U.S. 328 (1986), argued that *Central Hudson* "imposes too strict a standard" for reviewing restrictions on commercial speech about alcoholic beverages because consumption of alcohol is a "socially harmful" activity. 115 U.S. at 1589-1590, fn 2. The Court declined to adopt a lesser standard, finding neither *Edge Broadcasting* nor *Posadas* supported the argument because both cases "applied the *Central Hudson* analysis." *Id.* Despite the clarity of the Court's pronouncement only six months ago, the respondents predicate most of their argument upon avowal of the same unprecedented hierarchy for protecting commercial speech based upon its subject matter that was flatly rejected in *Rubin*.¹

¹ RILSA maintains that this contention is the "bedrock issue presented in this case." RILSA Brief, 5.

Discarding the *Central Hudson* test in favor of affording a lower level of protection for speech about activities deemed by regulators to be "socially harmful" would effectively wipe away all the decisions of this Court establishing and defining the First Amendment's protection for commercial speech. Virtually all products result from, or, in some instances, may lead to, a "socially harmful" outcome in someone's view. Thus, commercial speech about almost any product could be held subject to lesser protection if the attributes of the product, instead of the attributes of the speech, were the determinative factor. For example, motor vehicles, both in their manufacture and use, pose risks of a variety of social harms, including accidental deaths and injuries, traffic congestion, depletion of natural resources and air pollution. Government has ample power, if not always the political will, to regulate production and operation to strike a balance between the automobile's benefits and harms. According to the respondents' argument, despite the strictures of the First Amendment, government may also prohibit truthful, non-misleading price advertising of automobiles (or any product deemed "socially harmful") to reduce competition among retailers and thus create an "artificial price floor" that would inhibit sales. From the time it fully recognized that the First Amendment protected commercial speech, the Court has never upheld a restriction solely because the subject matter was a product deemed "socially harmful." In *Rubin*, the Court emphasized that "certain types of restrictions might be tolerated in the commercial speech area *because of the nature of such speech*." 115 S.Ct. at 1589 [*emphasis added*]. The Court requires that would-be regulators satisfy the *Central Hudson* test, which focuses on "distinguishing the truthful from the false, the helpful from the misleading, and the harmless from the harmful" in the speech itself. *Ibanez v. Florida Dept. of Business and Professional Regulation*, ___ U.S. ___, 114 S.Ct. 2084, 2089 (1994), quoting

Zauderer v. Office of Disciplinary Counsel of Supreme Court of Ohio, 471 U.S. 626, 646 (1985).

Rubin also unambiguously negates the respondents' other "bedrock" argument that the Twenty-first Amendment affords Rhode Island's ban on truthful, non-misleading price advertising an "added presumption of validity." RILSA Brief, 6-16,² State Brief, 37-42. The Court distinguished *California v. LaRue*, 409 U.S. 109 (1972), the case relied upon by the respondents and the Court of Appeals, because it "did not involve commercial speech about alcohol, but instead concerned the regulation of nude dancing in places where alcohol was served." *Rubin*, 115 S.Ct. at 1590, n.2. More pointedly, the Court was explicit that the states' authority to regulate commercial speech about alcoholic beverages is "subject to the same First Amendment restrictions that apply to the Federal Government." *Id.* at 1591 [*emphasis added*]. Since the Twenty-first Amendment does not lessen the First Amendment's restrictions on the Federal Government, it cannot be argued consistently with *Rubin* that the Twenty-first Amendment depreciates the First Amendment's restrictions on the states. The respondents' attempts to evade *Central Hudson*, as it has been applied in *Edenfield v. Fane*, 507 U.S. ___, 113 S.Ct. 1792 (1993), *City of Cincinnati v. Discovery Network*, 507 U.S. ___, 113 S.Ct. 1505 (1993), *Ibanez*, and *Rubin*, must fail.³

² RILSA's brief offers a confused intermingling of the Twenty-first Amendment argument and the "socially harmful" argument. Although purportedly discussing the effect of the Twenty-first Amendment on beverage vendors' First Amendment rights, RILSA Brief, 6-9, the brief relies heavily on *Posadas* and *Edge Broadcasting*, cases that have nothing to do with the Twenty-first Amendment, while ignoring *Rubin's* straightforward rejection of the government's argument that they support a more lenient standard. RILSA Brief, 9-13.

³ The respondents cite the Court's most recent commercial speech decision, *Florida Bar v. Went For It, Inc.*, ___ U.S. ___, 115

B. Rhode Island's Ban On Truthful, Non-misleading Price Advertising Is an Unconstitutional Restriction of Commercial Speech Because It Does Not Meet the *Central Hudson* Test.

By starting out with strenuous arguments for a lower standard of review, respondents virtually concede that Rhode Island's ban on truthful, non-misleading price advertising is an unconstitutional restriction of commercial speech under the *Central Hudson* test as the Court has refined it. *Central Hudson* requires that the State's asserted interest in banning commercial speech be weighed against the substantial interest of Rhode Island consumers and vendors in the "free flow of commercial information." The respondents and their supporting *amici* never acknowledge that truthful, non-misleading price information has been uniformly accorded constitutional protection by the Court because it is "indispensable" to the preservation of our free enterprise economy. *Virginia State Bd. of Pharmacy v. Virginia Citizens Consumer Council, Inc.*, 425 U.S. 748, 765 (1976). For that reason, the consumer's interest in obtaining price information through advertising is protected by the First Amendment, as well as the vendor's interest in providing the information. *Id.*,

S. Ct. 2371 (1995), as support for several of their arguments in favor of reducing their burden. RILSA Brief, 20, State Brief, 16, 34-35. The citations do not support the respondents. *Florida Bar* concerns the application of the *Central Hudson* test to "ambulance chasing" by attorneys. The decision is predicated on a record, "noted for its breadth and detail," in support of the regulation, that was "at no time refuted, save by the conclusory assertion that the rule lacked 'any factual basis.'" 115 S.Ct. 2377-2378. The harm the restriction in *Florida Bar* sought to avoid was inherent in the speech itself. The Court did not depart from the rigors of the *Central Hudson* test.

Bates v. State Bar of Arizona, 433 U.S. 365, 353-354 (1977).⁴ The State predicates its argument on trivializing the importance of price information as the "least informative speech concerning a product," State Brief, 17, and "only one tidbit of information." State Brief, 29.⁵ It goes so far as to advocate that "*price advertising should be afforded the least amount of protection in the entire spectrum of First Amendment values.*" State Brief, 17 [*emphasis added*]. Rhode Island's disdain for the interest of all its citizens, consumers and vendors, in obtaining truthful, non-misleading price information about a lawful product is unsupportable in light of the Court's price advertising decisions.⁶

⁴ *Queensgate Investment Co. v. Liquor Control Commission*, 69 Ohio St. 2d 361, 433 N.E.2d 138 (1982), appeal dismissed, 459 U.S. 807 (1982), is not to the contrary, despite the State's distorted presentation of it as a precedent that would "mandate affirmance of the First Circuit." State Brief, 21. See the reasons set forth in the Brief of the Beer Institute, et al. amici curiae at 18, n.9.

⁵ In ironic contrast, RILSA speculates that price advertising is so important that without it, "merchants may well decide not to advertise at all." RILSA Brief, 23. Of course RILSA's "speculation or conjecture will not suffice" to meet the State's burden under the *Central Hudson* test. *Ibanez*, 114 S.Ct. at 2089.

⁶ Some states have taken the Court's declaration of the importance of truthful, non-misleading price information seriously. In 1977, the Attorney General of Arkansas issued an opinion that Arkansas' statute banning price advertising violated the First Amendment. His reasoning was based upon the importance of price information to "any economic selection." "A prohibition on publication of price, then, is a material abridgement of freedom of speech." Opinion No. 77-134, 1977 Ark. AG LEXIS 118. Also in 1977, and again in 1980, the Attorney General of Tennessee issued opinions that regulations of the Tennessee Alcoholic Beverage Commission banning price advertising were unconstitutional. His reasoning was similarly based on the importance of price information to the consumer. Tenn. Op. Atty. Gen. No. 77-57, 1977 WL 28690; Tenn. Op. Atty.

In the District Court, the State's Attorney General conceded that Rhode Island was not concerned with responsible consumers, but that its interest was limited to reducing abusive consumption by reducing the availability of alcoholic beverages to persons of limited means (J.A. 67). Of course, suppression of truthful, non-misleading price information "hits the hardest" at the poor. *Virginia State Bd. of Pharmacy*, 425 U.S. at 763. The State's unsupported theory of the "artificial price floor" is not even relevant to abusers above some undefined income level.⁷ The State, therefore, has not met its burden under the third part of the *Central Hudson* test to prove that its ban on truthful, non-misleading price advertising has had any deterrent effect on abusive consumption, even by the impecunious. To the contrary, sadly, it is commonly known that alcoholics will consume shaving lotion, Sterno, or any other substance containing alcohol, when beverage alcohol is not available.⁸ Nor has the State shown that its price advertising ban, which surely affects mostly advertisements for popular brands,⁹ has caused retailers not to carry less expensive off-brand or house

Gen. No. 80-207, 1980 WL 104092. See, also, 1981-1982 Op. Atty. Gen. Mich. 561, 1982 Mich. AG LEXIS 76.

⁷ Indeed, another defect in the theory is shown because the State's expert had no idea what effect the ban actually had on prices. The State's expert did not know what an optimum price would be, what effect the price advertising ban had on Rhode Island prices, or how much prices would change without the ban (R. Saffer Tr. 43-49). It is therefore impossible to know what socioeconomic group could be affected. Without that information it is impossible to determine if the ban has any material effect on consumption.

⁸ "[T]he highly addicted drinker . . . will forego other needs to spend economic resources on alcohol." John Jung, *UNDER THE INFLUENCE (ALCOHOL AND HUMAN BEHAVIOR)*, (Brooks/Cole Pub. Co. 1994) p. 302.

⁹ See, e.g., J.A. 49.

brand beverages to satisfy the demand of their low income customers. Finally, the State offered nothing to show what price differential could be expected between a regime banning price advertising and one that does not. Without such information it is impossible to demonstrate how banning price advertising could affect prices of the cheapest off-brand products enough to affect abusive consumption. What has been proved is that with its price advertising ban in place, Rhode Island is in the top 30% of states in per capita consumption, evidence of the ineffectivity of its policy. 44 *Liquormart v. Racine*, 829 F.Supp. 543, 546 (D.R.I. 1993) (App. 23). It is also known that a study of total sales before, during and after the imposition of price advertising restrictions for beer showed that "the presence of price advertising has *no significant effect on beer consumption*" (J.A. 92) [*emphasis added*].

Unable to prove any harm that flows directly from providing consumers with accurate price information, and unable to show that the price advertising ban has had any effect on the State's asserted interest in reducing intemperate consumption by Rhode Island's poorer citizens, the respondents shift ground in their arguments to this Court. They attempt to justify the statute by postulating a State interest in suppressing all consumption of alcoholic beverages as "socially harmful." RILSA Brief, 18-19, State Brief, 32. They, along with the Court of Appeals, would regulate speech as if the social consequences of one drink with dinner, or consuming a beer while playing cards with friends, was the equivalent of alcoholism.¹⁰ They argue that any consumption is "socially harmful" so that any reduction in consumption

¹⁰ The Court of Appeals only concerned itself with the hypothesis that lower prices would bring "more sales" without relating that hypothesis to the State's much more limited asserted interest. 44 *Liquormart v. Rhode Island*, 39 F.3d at 7 (App. 7).

is in furtherance of the State's interest. RILSA Brief, 25, State Brief, 22-23.

This belated change in the identified state interest should be rejected because to do otherwise would enable regulators to hide their real purpose behind an ever-changing array of suppositions. The first task of the Court in undertaking the *Central Hudson* analysis is to carefully ascertain the genuineness of the precise interests the State claims to be advancing by restricting speech.

In undertaking the first inquiry, we must identify with care the interests the State itself asserts. Unlike rational basis review, the *Central Hudson* standard does not permit us to supplant the precise interests put forward by the State with other suppositions. Neither will we turn away if it appears that the stated interests are not the actual interests served by the restriction. *Edenfield*, 113 S.Ct. at 1798 [citations omitted].

If the required inquiry is to have any meaning, when the "important interest" asserted in the trial court is found unavailing, the State should not be permitted to conjure up others.

However, by abandoning the interest, conceded below, in discouraging abusive consumption by the poor in favor of the interest in discouraging *any* consumption asserted here, the respondents not only fail to satisfy the requirement that the precise interests put forward by the State may not be supplanted, they fail to assert an important interest at all.¹¹ Indeed, the newly asserted interest in

¹¹ *Central Hudson* suggests that restricting advertising to suppress demand for electricity from a monopoly vendor may further a substantial governmental interest where there is an "energy crisis." 447 U.S. at 568-569. Under such circumstances *any* demand for the product is detrimental to the important governmental interest in conservation. Here, only demand for

reducing consumption *vel non* proves the insubstantiality of the respondents' case. In the State's view, it would be a legitimate goal, justifying suppression of truthful, non-misleading price information, to cause a consumer who drinks one beer a week, or a glass of wine with dinner, to consume less. Even if that were the case, the State has not met its burden of proving that such an interest has been directly and materially advanced by its ban on speech.

One way of determining if the State has proved the requisite "immediate connection" between the government's asserted interest and its prohibition of speech, which was ignored by the Court of Appeals, is to examine the degree to which the State attempts to further its asserted goal through regulation. The substantiality of the relationship between the restriction on speech and the asserted goal is tested by the seriousness and consistency with which the goal is pursued. *Rubin*, 115 S.Ct. at 1592-1593. At the heart of this analysis is the question of whether the State has proved that its asserted goal is its true objective.¹² "Without this requirement, a State could

the product by the small percentage of consumers who abuse it is harmful. They are unlikely to be deterred by the State's hypothetical "artificial price floor" for brand name advertised products and will satisfy their demand with inexpensive products.

¹² In his dissent to the opinion of the Rhode Island Supreme Court that upheld the price advertising ban for newspapers, Justice Weinberger persuasively writes that the true motivation for enforcement of the price advertising ban has "nothing to do with the 'promotion of temperance' among Rhode Island citizens, but rather with the promotion of price ignorance" to protect the market share of RILSA's members. *Rhode Island Liquor Stores Ass'n. v. Evening Call Publishing Co.*, 497 A.2d 331, 342 n.10 (R.I. 1985). Confirming his view, in this case RILSA urges that virtually all its members' constitutional rights be eliminated in order to maintain the price advertising ban and thus restrict competition among retailers. RILSA's members obviously find it more important to be free from competition than to be protected from unbridled governmental regulation.

with ease restrict commercial speech in the service of other objectives that could not themselves justify a burden on commercial expression." *Edenfield*, 113 S.Ct. at 1800.

Despite its newly proffered concern with reducing consumption in general, Rhode Island permits all forms of advertising which, according to the State, directly try to stimulate the desire to consume alcoholic beverages.¹³ Consumers are denied only price information. As the Rhode Island Supreme Court humorously put it: "Rhode Islanders' thirst for alcoholic-beverage advertising will have to be quenched through the electronic and print media *constantly reminding them* of such thoughts as 'This Bud's for you' or 'It's Miller Time.'" *S & S Liquor Mart, Inc. v. Pastore*, 497 A.2d 729, 734 (R.I. 1985) [*emphasis added*]. A consumer who has thereby been persuaded that it is "Miller time" and sets out to buy a six-pack will be able to check the advertisements and find many places where Miller beer is sold, but not know which one offers the best price. Common sense says that this will not dissuade the purchase, but only enable retailers to maintain high margins at the consumer's expense. Rhode Island presented no empirical data to the contrary.¹⁴

¹³ But see the discussion of advertising directed at obtaining increased market share in a "mature market." Petitioner's Brief, 19-20.

¹⁴ In its Brief at 28, Rhode Island offers a 1995 "study" by the "Center for Science in the Public Interest" to refute the District Court's finding, based upon the testimony of Dr. Smart, that "on a national scale, over the past fifteen years, consumption levels generally have decreased even though overall advertising levels have increased." *44 Liquormart v. Racine*, 828 F. Supp. 543, 546 (D.R.I. 1993) (App. 23-24). Without verifying the scientific qualifications of the authors, it is impossible to give the study any credence. Unlike Dr. Smart, they did not testify under oath and subject themselves and their theories to cross examination. The public record shows that one of the two

Courts are rightly loath to guess at hidden motivation for legislation. Consequently, the second part of *Central Hudson* focuses on the interest the State claims it is trying to advance, rather than divining what is the real interest. However, proper application of the third and fourth parts of the test (that is holding the State to its burden of proof and requiring more than a rational basis to support the restriction), will often find the restriction lacking if the real objective is other than that stated. Here, the fact that Rhode Island has not even attempted to regulate any advertising of alcoholic beverages other than truthful, non-misleading price advertising, is persuasive evidence of the lack of connection between the price advertising regulation and the proffered governmental interest in reducing overall consumption.

In *Capital Cities Cable, Inc. v. Crisp*, 467 U.S. 691 (1984), the State of Oklahoma asserted that it banned wine commercials that appeared on out-of-state signals carried by cable operators in order to "promote temperance." However, since Oklahoma permitted "print and broadcast commercials for beer, as well as advertisements

authors, George Hacker, is an attorney employed by the "Center" who submitted an *amicus* brief to the Fourth Circuit in support of a ban on billboard advertising of alcoholic beverages. *Anheuser-Busch, Inc. v. Schmoke*, ___ F.3d ___, 1995 U.S. App. LEXIS 24515 (4th Cir. 1995). The "Center" is not an academic institution or think tank. It is an advocacy group whose agenda, according to the statement of interest in its *amicus* brief, is to suppress alcohol advertising. Despite this bias, the findings of the "study" are inconclusive. The authors state that "it is impossible to know the extent to which reductions in alcohol advertising helped lower drinking rates." More significantly, the Hacker-Stuart "study" avers that "the reduction of *highly visible, repetitive, seductive appeals to drink* is almost certainly part of the equation." Hacker and Stuart, p. 14 [*emphasis added*]. Thus, the type of advertising thought by the authors of the study to affect consumption is not price advertising, but precisely the kind of advertising that is *permitted* in Rhode Island.

for all alcoholic beverages contained in newspapers, magazines and other publications printed outside the State" the Court found Oklahoma's "selective approach" undermined its claim to be furthering a substantial interest.

By their own terms, therefore, the State's regulatory aims in this area are narrow. Although a state regulatory scheme obviously need not amount to a comprehensive attack on the problems of alcohol consumption to constitute a valid exercise of state power under the Twenty-first Amendment, *the selective approach Oklahoma has taken toward liquor advertising suggests limits on the substantiality of the interests it asserts here.* 467 U.S. at 715 [emphasis added].

In *Discovery Network*, the Court again stressed that underregulation vis-a-vis the asserted State interest supports finding a restriction of commercial speech invalid.

The fact that the regulation "provide[d] only the most limited incremental support for the interest asserted" . . . - that it achieved only a "marginal degree of protection" . . . for that interest - supported our holding that the prohibition was invalid. 113 S. Ct. at 1515 [citations omitted].

Most recently, in striking down a ban on labeling the alcoholic content of beer that the government sought to justify as preventing "strength wars," the Court noted the illogic of the government's position based upon the limited scope of its prohibition. The Court pointed to the "irrationality" of the regulatory framework in light of its asserted goal in concluding that "[t]here is little chance that [the regulation] can directly and materially advance its aim, while other provisions of the same act directly undermine and counteract its effects." *Rubin*, 115 S.Ct. at 1593. So, too, in this case, it makes no sense for the State to claim that it has a real interest in withholding truthful, non-misleading price information to reduce consumption, while it permits the public to be "constantly" exposed to all other alcoholic beverages advertising.

C. The State Distorts the Testimony of Petitioners' Experts to Support A Vain Attempt to Overturn the District Court's Finding That Rhode Island's Off-premises Advertising Ban Has Had No Material Impact On the Level of Alcohol Consumption.

Based upon careful and reasoned evaluation of the testimony presented, the District Court found that Rhode Island's off-premises price advertising ban has had no material impact on the level of alcohol consumption. 44 *Liquormart, Inc. v. Racine*, 829 F.Supp. at 549 (App. 31). The Court of Appeals based its decision on its conclusion that the evidence went "both ways," erroneously permitting the State to meet its burden under *Central Hudson*, merely by offering some, but not preponderant, evidence. 44 *Liquormart v. State of Rhode Island*, 39 F.3d 5, 7 (1st Cir. 1994) (App. 6). The State would have this Court go even further than the Court of Appeals, by supplanting the District Court's finding with a determination that the price advertising ban has had a material impact on the level of consumption. State Brief, 23-28. However, in arguing that the District Court's careful analysis is wrong because the petitioners' experts support its position, the State relies upon distortion and omission of key parts of the experts' testimony to conceal its lack of proof.

The State selects snippits of testimony by Drs. Smart and Pittman to suggest that they contributed "substantial evidence" that the "price advertising ban increases the price of alcoholic beverages, thus resulting in decreased consumption." State Brief, 28. For example, the State claims that Dr. Smart "acknowledged" that there are two "camps" of opinion on the relation between advertising in general and alcohol consumption in general, one of which finds a connection. State Brief, 24. Of course, the issue here is the relationship between Rhode Island's price advertising ban and consumption by Rhode

Islanders. That aside, the State distorts Dr. Smart's testimony. All Dr. Smart acknowledged was that "*some* citizens groups, politicians, *some* professionals and research experts *sometimes* assert that alcohol advertising leads to increased overall consumption." J.A. 75 [*emphasis added*].

The State again engages in distortion when it argues "[o]f most importance to the case is Dr. Smart's testimony that price is a *potent* influence on the level of alcohol consumption." State Brief, 25 [*emphasis added*].

Q. . . . Now, there is one paragraph that begins at the bottom of the first column and continues into the top of the second that talks about the affect (*sic*) of price on alcoholic beverages. Doctor, I think can we establish you agree that price has an affect (*sic*) on consumption, price of alcoholic beverages has an affect (*sic*) on consumption?

A. I would say so, particularly if you relate price to disposable income. J.A. 80 [*emphasis added*].

The State's question to Dr. Smart was obviously made in reference to a particular publication. Dr. Smart *did* agree with the conclusions of the authors¹⁵ and did agree that the price of alcoholic beverages has an effect on consumption "if you relate price to disposable income." The State fails, however, to include Dr. Smart's earlier comments regarding the study at issue. Dr. Smart agreed that there is an *expectation* that advertising reduced prices will increase alcohol consumption and that the authors of the study included that *expectation*. (R. Smart Tr. 44). Regarding the findings of the study, which – according to Dr. Smart – were mere expectations, Dr. Smart testified that he agreed with the findings as far as they went but qualified his agreement: "I think that what their findings are is a little confusing in that what we see

¹⁵ The subject is the work by Ornstein and Hanssens (J.A. 94).

in the article is an affect (*sic*) of price advertising for print and billboards for all states considered together but not when we consider only license states." *Id.*

At no point did Dr. Smart testify that the supposed link between advertised price and consumption transcends the theoretical bonds of mere expectation to become reality in Rhode Island.

Another example of the State's creative use of excerpts is its claim that "Dr. Smart finds the statement that 'a ban on price advertising raises the means and variance of price by increasing search costs and this results in lower consumption' to be a reasonable expectation." State Brief, 25. The State failed to report the entire sentence: "*I think that's a speculation on their part because they don't have any data on search costs, but I think it's a reasonable expectation.*" J.A. 80 [*emphasis added*].

Dr. Smart did not, as the State suggests, adopt the State's view. Instead, he simply found that a certain expectation was theoretically reasonable. Dr. Smart's insistence on the speculative nature of that expectation underscores the fact that he did not abandon his opinion in favor of that expressed by the State's expert.

Dr. Pittman did not escape the State's use of misleading excerpts. The State cites testimony by Dr. Pittman in which he stated that if the Rhode Island advertising ban were to be lifted, lower alcohol price would be a direct effect. State Brief, 26. The State attaches considerable importance to the testimony it cites, arguing that Dr. Pittman "made the State's case." *Id.* While the State did succeed in causing Dr. Pittman to agree that a "direct effect" on alcohol consumption would result from a repeal of the advertising ban, the State failed to report that Dr. Pittman believes that the "direct effect" would be "small and insignificant" (R. Pittman Tr. 12). The State's expert had no opinion on the magnitude of the effect of the price advertising ban on prices (R. Saffer Tr. 45-46). Thus, the State's case was, as found by the District Court, refuted by the petitioners' experts and not substantiated

by the State's expert. 44 *Liquormart v. Racine*, 829 F.Supp. at 546-549 (App. 22-31). Rhode Island utterly failed to meet its burden under *Central Hudson* to prove that its theory was realized. It did not prove that the price advertising ban had "directly and materially" advanced the asserted goal of promoting temperance, whether that goal is defined as reducing abusive consumption by the poor, or reducing consumption in general.

D. The Court Does Not Condone a "Rational Basis" Standard To Decide the Constitutionality of Governmental Restrictions On Truthful, Non-misleading Price Advertising.

In asserting that Rhode Island's ban on truthful, non-misleading price advertising is sustainable under the *Central Hudson* test, the respondents and their supporting *amici curiae* argue for a lesser standard of review than the Court has set for the protection of commercial speech. The Council of State Governments, *et al.* (Council), devote most of their *amicus* brief to arguing that the Court should defer to the legislative judgment, both as to whether the ban on speech directly and materially advances the asserted interest and the propriety of the "fit" between the suppression of speech and the result to be accomplished.

The Council misrepresents the petitioners' argument in order to create an easy target for its own. For example, it suggests that the petitioners argue that: Rhode Island must "demonstrate that a particular measure is guaranteed to work perfectly or that it is unanimously endorsed by experts in the field," Council Brief, 4; a legislature must consider "every imaginable alternative or prove that the one it selected is the least restrictive of speech," *Id.*; a State must "produce uncontroverted, conclusive empirical evidence that its asserted interest will be directly and materially advanced," Council Brief, 9; a State must present "exhaustive empirical data," *Id.* Of course the petitioners never made such arguments, which

are straw men set up by the Council to mask the fact that despite its lip service to *Central Hudson*, it is really arguing for the application of a "rational basis" test that would be the end of any meaningful protection for commercial speech.

While the test "is not satisfied by mere speculation or conjecture," *Edenfield*, 113 S.Ct. at 1800, neither does it require production of evidence of a quality and quantity that might be necessary to convince a trier of fact of the truth of a particular matter. It requires only a basis sufficient to support a reasonable belief on the part of the legislature as to the measure's efficacy. Council Brief, 9.

Thus, the Council and respondents would have the Court reverse its recent holding in *Ibanez* that the "State's burden is not slight" as well as its holding in *Rubin* that it was "critical" to the *Central Hudson* analysis that the State "must demonstrate that the harms it recites are real and that its restriction will *in fact* alleviate them to a material degree," 115 S.Ct. at 1592 [*emphasis added*], in favor of asking only if the legislature could have reasonably believed in "the measure's efficacy." No amount of verbal camouflage can disguise the fact that the respondents and their *amici* are arguing for the very rational basis test that the Court has repeatedly said is "*far different*" from the level of scrutiny required by *Central Hudson*. *Board of Trustees of State Univ. of New York v. Fox*, 492 U.S. 469, 480 (1989) [*emphasis added*]; *Discovery Network*, 113 S.Ct. at 1510, n.13.

Contrary to the Council's hyperbole, enforcement of *Central Hudson* does not paralyze regulators from addressing social problems. Council Brief, 13. Government has broad authority to regulate commerce, typically subject only to "rational basis" review by the courts. But if the government attempts instead to censor speech in the hope of manipulating consumer behavior, it must then confront the strong constitutional presumption in favor of the "free flow of commercial information" and

has assumed the substantial burden of proof required by *Central Hudson* and its descendants.

We are informed that the respondents will submit the recent decision of the Fourth Circuit Court of Appeals in *Anheuser-Busch, Inc. v. Schmoke*, ___ F.3d ___, 1995 U.S. App. LEXIS 24515 (4th Cir. 1995), as supplemental authority. In that case, the Court of Appeals affirmed the District Court's judgment upholding a Baltimore ordinance banning outdoor advertising of alcoholic beverages in certain locations based on the city's assertion that the ban was necessary to promote the "welfare and temperance" of minors. In so doing, the Court of Appeals adopted a method of review that completely avoided this Court's formulation of the burden of proof on the government: it deferred to the legislative judgment.

On this facial challenge, the City bears the burden not of establishing that at every coordinate the regulation advances a governmental purpose and does no more, but rather that it had *an objectively reasonable belief* that the means which it selected constituted a reasonable "fit" with the regulation's purpose. 1995 U.S. App. LEXIS 24515 at 14 [*emphasis added*].

The decision of the Fourth Circuit is a misapplication of the "rational basis" test for economic regulation to a ban on commercial speech. See *Board of Trustees of State Univ. of New York v. Fox*, *supra*. It is written as if *Edenfield*, *Discovery Network*, *Ibanez* and *Rubin* did not pertain.¹⁶ Nonetheless, the Fourth Circuit did make one reference to *Rubin*, in a footnote that questions the validity of the decision of the Court of Appeals below.

The rationale for the more general restriction prohibiting the advertising of alcoholic beverages, upheld in *Dunagin* and *Crisp*, may, however, be insufficient to support a general

¹⁶ *Edenfield* is cited two times, but not as a controlling authority. *Discovery Network* and *Ibanez* are not cited at all.

prohibition against price advertising of alcoholic beverages, even though such a restriction was upheld in *44 Liquormart, Inc. v. Rhode Island*, 39 F.3d 5 (1st Cir. 1994), *cert. granted*, 115 S. Ct. 1821 (1995). Cf. *Rubin v. Coors Brewing Co.*, 131 L. Ed. 2d 532, 115 S. Ct. 1585 (1995) (finding unconstitutional a labeling ban on the disclosure of alcohol content to combat "strength wars"). 1995 U.S. App. LEXIS 24515 at 27, n.5.

While the footnote in *Anheuser-Busch* marginalizes *Rubin* as precedent for general restrictions on alcoholic beverages advertising, at least the Fourth Circuit recognized the distinction between a general advertising ban and a ban on truthful, non-misleading price advertising that the respondents and the Court of Appeals below do not address.¹⁷

The Council relies upon language in *Turner Broadcasting System v. FCC*, 114 S.Ct. 2445 (1994), in support of its plea that the Court defer to the "legislative findings" of the Rhode Island legislature. Council Brief, 9-11. It misses the central point of *Turner*. The Court concluded that summary judgment in favor of the governmental regulation should not have been granted despite a broad legislative record. Therefore, under First Amendment intermediate scrutiny, issues of fact must be resolved on the basis of evidence presented in a trial, not by deferring to legislative judgment.¹⁸

¹⁷ The District Court below did appreciate the difference and was careful to limit its decision. *44 Liquormart v. Racine*, 829 F. Supp. at 549, n.6, (App. 31). RILSA, by invoking a "battle against various vices," is attempting to have the Court decide cases that are not before it. RILSA Brief, 30-34.

¹⁸ To make this argument in this case is odd as well as misdirected. As RILSA admits, "the reasoning of the Rhode Island General Assembly must remain a matter of conjecture for all parties" because "Rhode Island has no recorded legislative history" for the statutes in issue. RILSA Brief, 11, n.6.

CONCLUSION

For the foregoing reasons, and for the reasons set forth in the Brief for Petitioners, the petitioners respectfully submit that the judgment of the Court of Appeals should be reversed.

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